MCQS

ECO501 midterm preparation file

ZB

بسم الله الرحمن الرحيم

In the name of God , Most Gracious, Most merciful



ECO501

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1. Which of the following is the primary goal of microeconomics? a) Study of inflation

b) Study of national income

c) Allocation of resources

d) Study of government policies

Answer: c) Allocation of resources

2. The law of demand states that: a) Price and quantity demanded are inversely related

b) Price and quantity demanded are directly related

c) Quantity demanded remains constant

d) None of the above

Answer: a) Price and quantity demanded are inversely related

3. Which of the following is a characteristic of a perfectly competitive market? a) Product differentiation

b) Barriers to entry

c) Many buyers and sellers

d) Price maker

Answer: c) Many buyers and sellers

4. Which of the following is an example of a public good? a) Private television channels

b) National defense

c) Club goods

d) Private parks

Answer: b) National defense

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5. A price ceiling is: a) A minimum price set by the government

b) A maximum price set by the government

c) The equilibrium price

d) The price at which supply equals demand

Answer: b) A maximum price set by the government

6. The marginal cost curve intersects the average total cost curve at: a) The maximum of the average total cost curve

b) The minimum of the average total cost curve

c) The point of diminishing returns

d) None of the above

Answer: b) The minimum of the average total cost curve

7. What is meant by the term 'elasticity of demand'? a) The responsiveness of demand to changes in price

b) The responsiveness of supply to changes in price

c) The relationship between price and supply

d) The change in supply due to a change in demand

Answer: a) The responsiveness of demand to changes in price

8. Which of the following is not a factor affecting demand? a) Income of consumers

b) Prices of related goods

c) Technology

d) Tastes and preferences

Answer: c) Technology

9. A firm operates in a perfectly competitive market and is earning normal profit. The firm's: a) Total revenue equals total cost

b) Total revenue exceeds total cost

c) Total cost exceeds total revenue

d) Profit is negative

Answer: a) Total revenue equals total cost

10. The law of diminishing marginal utility states that: a) As consumption increases, total utility increases at a decreasing rate

b) Marginal utility increases with consumption

c) Total utility decreases with consumption

d) None of the above

Answer: a) As consumption increases, total utility increases at a decreasing rate

11. In the short run, firms can: a) Change all inputs

b) Only change some inputs

c) Not change any inputs

d) None of the above

Answer: b) Only change some inputs

12. Which of the following is true about monopolistic competition? a) There are no barriers to entry

b) Firms produce identical products

c) Firms are price takers

d) Firms can earn economic profits in the long run

Answer: a) There are no barriers to entry

13. The GDP deflator is a measure of: a) Inflation rate

b) Nominal GDP

c) Real GDP

d) The change in consumer prices

Answer: a) Inflation rate

14. Which of the following is not a component of aggregate demand? a) Consumption

b) Investment

c) Government spending

d) Imports

Answer: d) Imports

15. The main difference between fiscal policy and monetary policy is that: a) Fiscal policy is concerned with government spending and taxation, while monetary policy is concerned with the money supply and interest rates

b) Fiscal policy controls interest rates, while monetary policy controls government spending

c) Fiscal policy affects only the private sector, while monetary policy affects only the public sector

d) There is no difference between fiscal and monetary policy

Answer: a) Fiscal policy is concerned with government spending and taxation, while monetary policy is concerned with the money supply and interest rates

16. Which of the following is a characteristic of an oligopoly market? a) A large number of sellers

b) Barriers to entry

c) Firms sell identical products

d) Price takers

Answer: b) Barriers to entry

17. The opportunity cost of a decision is: a) The monetary cost of the decision

b) The next best alternative that is foregone

c) The total cost of all alternatives

d) None of the above

Answer: b) The next best alternative that is foregone

18. Which of the following is an example of a merit good? a) Cigarettes

b) Education

c) Alcohol

d) Junk food

Answer: b) Education

19. A firm in a perfectly competitive market will produce where: a) Marginal cost equals average total cost

b) Marginal cost equals price

c) Average variable cost equals average total cost

d) None of the above

Answer: b) Marginal cost equals price

20. The short-run aggregate supply curve is: a) Vertical

b) Horizontal

c) Upward sloping

d) Downward sloping

Answer: c) Upward sloping

21. Which of the following best describes a Giffen good? a) A good that has a positive income effect

b) A good that violates the law of demand

c) A luxury good with high elasticity

d) A good that is inferior but not a necessity

Answer: b) A good that violates the law of demand

22. Which of the following is a reason for market failure? a) Perfect competition

b) Externalities

c) High levels of government intervention

d) Efficient resource allocation

Answer: b) Externalities

23. In the Keynesian cross model, equilibrium output occurs when: a) Aggregate supply equals aggregate demand

b) Total spending equals total income

c) Investment equals savings

d) Exports equal imports

Answer: b) Total spending equals total income

24. Which of the following is a leading economic indicator? a) Unemployment rate

b) Consumer confidence index

c) GDP growth rate

d) None of the above

Answer: b) Consumer confidence index

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25. In the circular flow model, households: a) Receive wages, rent, and profits in exchange for factors of production

b) Only consume goods and services

c) Only supply labor

d) Pay taxes to the government

Answer: a) Receive wages, rent, and profits in exchange for factors of production

26. Which of the following is not an example of a price floor? a) Minimum wage

b) Agricultural price supports

c) Rent controls

d) None of the above

Answer: c) Rent controls

27. The multiplier effect refers to: a) The increase in total income resulting from an initial increase in autonomous spending

b) The increase in government spending following an economic downturn

c) The reduction in taxes to stimulate economic growth

d) The impact of interest rates on investment

Answer: a) The increase in total income resulting from an initial increase in autonomous spending

28. In which of the following markets do firms have the most control over price? a) Perfect competition

b) Monopoly

c) Oligopoly

d) Monopolistic competition

Answer: b) Monopoly

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29. Which of the following is true about monopolies? a) They produce where marginal cost equals marginal revenue

b) They are price takers

c) They have many competitors

d) They always charge the highest price possible

Answer: a) They produce where marginal cost equals marginal revenue

30. Which of the following is an example of a negative externality? a) Education

b) Pollution

c) Public parks

d) Public healthcare

Answer: b) Pollution

31. The income elasticity of demand measures: a) The change in quantity demanded due to a change in income

b) The responsiveness of supply to income changes

c) The relationship between income and supply

d) The total income of consumers

Answer: a) The change in quantity demanded due to a change in income

32. Which of the following is the main tool used by central banks to control the money supply? a) Fiscal policy

b) Open market operations

c) Subsidies

d) Taxation

Answer: b) Open market operations

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33. Which of the following best defines the concept of "marginal utility"?
a) The total satisfaction from all units consumed
b) The change in total satisfaction from consuming one more unit
c) The total cost of consuming a product
d) The satisfaction derived from the first unit consumed
Answer: b) The change in total satisfaction from consuming one more unit

34. In the context of economics, "equilibrium" refers to: a) The point where demand exceeds supply
b) The point where supply exceeds demand
c) The point where quantity demanded equals quantity supplied
d) The point where total revenue equals total cost
Answer: c) The point where quantity demanded equals quantity supplied

35. Which of the following is a feature of a monopoly? a) Many firms sell differentiated products
b) High barriers to entry
c) Firms are price takers
d) Products are standardized
Answer: b) High barriers to entry

36. Which of the following will most likely lead to an increase in the supply of a good? a) An increase in input prices
b) A technological improvement
c) A decrease in consumer income
d) A decrease in the price of substitutes
Answer: b) A technological improvement

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37. In the short run, a firm's supply curve in a perfectly competitive market is: a) The portion of the marginal cost curve above average variable cost

b) The marginal revenue curve

c) The average total cost curve

d) The average variable cost curve

Answer: a) The portion of the marginal cost curve above average variable cost

38. Which of the following would increase the demand for a normal good? a) An increase in consumer income

b) A decrease in consumer income

c) An increase in the price of a substitute

d) Both a and c

Answer: d) Both a and c

39. The principle of comparative advantage suggests that: a) A country should produce and export goods it can produce most efficiently

b) A country should produce only the goods that it can produce in absolute terms

c) All countries should adopt protectionist policies

d) Countries should specialize in producing only one good

Answer: a) A country should produce and export goods it can produce most efficiently

40. In a monopolistic competition, firms: a) Sell identical products

b) Are price takers

c) Have differentiated products

d) Do not face any competition

Answer: c) Have differentiated products

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41. The total cost curve typically: a) Slopes downward at first and then increases at an increasing rate

b) Increases at a decreasing rate initially, then increases at an increasing rate

c) Remains constant at all levels of output

d) Decreases with increasing output

Answer: b) Increases at a decreasing rate initially, then increases at an increasing rate

42. The Phillips curve represents the relationship between: a) Inflation and unemployment

b) Supply and demand

c) Income and wealth

d) Interest rates and investments

Answer: a) Inflation and unemployment

43. The concept of "price elasticity of supply" refers to: a) The responsiveness of quantity supplied to changes in price

b) The responsiveness of quantity demanded to changes in price

c) The relationship between demand and quantity supplied

d) The effect of income changes on supply

Answer: a) The responsiveness of quantity supplied to changes in price

44. Which of the following does NOT affect aggregate demand? a) Consumer expectations

b) Government policies

c) Technological changes

d) Interest rates

Answer: c) Technological changes

45. In the long run, a perfectly competitive firm produces where: a) Marginal cost equals marginal revenue

b) Marginal revenue equals average total cost

c) Marginal cost equals average variable cost

d) Marginal cost exceeds average total cost

Answer: b) Marginal revenue equals average total cost

46. Which of the following best describes an oligopoly? a) A market with many small firms

b) A market where firms produce identical products

c) A market with a few large firms that dominate the industry

d) A market with no barriers to entry

Answer: c) A market with a few large firms that dominate the industry

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.
Therefore, for passing a course/subject, student shall fulfill the following:
a) Secure minimum 20% score in Formative Assessments/Mid terms
b) Secure minimum 20% score in Final Term Examinations.
c) Secure at least 40% marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?
A: Follow these steps:
1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).
2. Each subject typically has 3 credit hours.
3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.
Examples:
21 credit hours = 7 su18 credit hours = 6 subjects
15 credit hours = 5 subjects
Remember, the university may allow different credit hours for each student, so check your specific allowance.
By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed
Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat Fame

Moat

Humy pta hona chaheay Moat tab ani ha jab Allah chahy us se pehly puri dunya bi ak tararf ho ke apko marna chahy to apka kuch nahe beggar saqti

Risk/Dolat

Risk Dolat sb Allah pak ke hath m ha puri dunya ak taraf b ho jay na apsy apka risk cheen saqti ha na de saqti ha Ye sirf ALLAh pak ky hath m ha

Izat Zilat shohrat Fame

Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b apko zra brabr b demage nahe kr saqti Agr ALLAH

Apko izat dena chahay to puri dunya ak tararf ho ke b apko 1% b nuksan nahe pohancha saqti
Phr Dar ks bat ka ??????????????
Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne mat jhuko puri dunya mel k b apka kuch b nahe beggar saqti

ZB
MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family
Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my compaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha
Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us
m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us
Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

MY Family

ust Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

AL-Quran

"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"

May Allah bless you